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ENTREPRENEURSHIP: MEANING OF ENTERPRISE

① In its wider sense, an enterprise is any identified idea that is translated into planned and satisfactorily implemented activity. In its narrow sense, it refers to a business venture or undertaking that brings profit.

② **ENTERPRISE:** An organization founded and united for specific purpose. It can be a group of people who work for specific reason. Practically all projects and undertakings can be referred to as enterprise if the following steps are followed

- Idea generation
- Planning
- Implementation
- Successful completion of an activity and
- Accepting the reward.

DIFFERENT FORMS OF ENTERPRISE.

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- Private	- Public
- Profit	- Non-profit
- Formal	- Informal
- Individual	- Community
- Local	- Foreign
- Business	- Social
- Small	- Large
- Manufacturing	- Service
- Consumer	- Industrial

ENTREPRENEURSHIP

In political economics: entrepreneurship is the process of identifying and starting a new venture, sourcing and organizing the required resources, while taking both the risk and the rewards associated with the venture.

According to Jean-Baptists say: An entrepreneur is an economic agent who units all means of production – land on one hand and on the other hand labour another, and capital seller also on one hand the product in the market pays rent on land wages to labour, interest on capital and what remains is his profit. He shifts economic resources out of an area of lower and into an area of higher productivity and greater yield.

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FEATURES OF THE TYPES OF ENTERPRISE (4)

Business enterprises	Non-business types of enterprises
• Profit are primary motive • Product/service must be demanded • Product/services are sold in the market • Product/service must be paid in full	• Various types of human need are cared for. • Product/service people may want • Market situation need not to be present • Product/service may not necessarily be paid in full

CLASSIFICATION OF ENTERPRISE (5)

Enterprise are classified along the type of product produced. There is an international code that help you with this classification. It is called the ISIC code (International Standard Industries Code). Below is an example of some enterprise that are classified to reflect some enterprise of what you may see in your neighbourhood, these are seen below:

Retail	Food and recreation	Manufacture	Services	Others
Newspaper stand clothe start Art and craft gallery Drug store Liquor Florist Pet shop	Grocere store Restaurants Motel Fashion Etc	Machine shop Manufacturers Medical equipment Cosmetics and beauty product Industrial equipment Etc	Computer services Rental services Interior decoration Car wash Travel & tower agency Estate agent	Whole selling Farming Building Contractor Transportation Design work Artist Etc

The size of the enterprise may also be used for its classification. Worldwide this types of classification depends on either of or both of the capital employed or the number of staff engaged by the enterprises. Below is the definition adapted by Federal Government of Nigeria in 2007.

Micro-cottage industries: (B)

These are define as those investment does not exceed 1.5m include working capital but exclusive of land. The work force is not more than 10 people.

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Small scale industries:

(2)

These are defined as those with total investment of between N1.5m and N50m excluding land but including working capital and workforce of between 11 and 100 workers.

Medium scale industries

(2)

Are defined as total investment of between N50m and N200m excluding land but including working capital and a labour force of between 101 and 300 workers.

Large scale industries:

(2)

Are defined as those with a total investment of over N200m excluding land but including working capital and labour force of over 300 workers.

Entrepreneurship/entrepreneur

(16)

Entrepreneurship is first and foremost a mindset while on the other hand entrepreneur is a person who habitually create and innovates to build some of recognized value around perceived opportunities. From the above definition one can understand the concept of entrepreneur and entrepreneurship via the following keywords in the definition.

- **Entrepreneur:** Can be an individual entrepreneur but also an entrepreneurial team or entrepreneurial organization.
- **A person:** Emphasizes a personality rather than a system.
- **Habitually:** Just cannot stop being an entrepreneur
- **Create:** Start from scratch and bring something new.
- **Innovates:** Able to overcome obstacle that would stop most people turn problems into opportunities and sees ideas through to final application.
- **Build something:** Describes the output of the creation and innovation process.
- **Of organized value:** It encompasses economic, commercial, social, or aesthetic value.

Perceived opportunities: Spotting the opportunity to exploit an idea that may or may not be original to the entrepreneur. Seeing something others miss or see in retrospect.

WHAT ENTREPRENEURS ARE LIKE?



1. Personality factors:

- Born/made ratio – 50:50 a system of genetic and environmental influence.

- Motivation and emotion: Independence, competitive spirit, challenge, wealth.
- Behavioural characteristics: perseverance, determination, orientation to clear goals, need to achieve opportunity orientation, creativity, persistent problem solving, risk taking, integrity, honesty, internal focus on control.
- Personality attributes- preferred styles extrovert/introvert, sensor/intuit, thinker/feeler and judger/perceiver.

2. Environmental factors:

Family background: Entrepreneurial heritage.
 Age and education – begin entrepreneurial activity early are not over educated.
 Work experience – most entrepreneurs first gain some work experience in the line of business they later start up.

3. Action factors

- Making the difference – initiate change and sustain it.
- Creating and innovating – a continuous activity, seeing creative idea through to the end and then start climbing another mountain.
- Exploiting opportunities – able to see or create opportunities that other people miss.
- Finding resources and competencies – expert at exploiting contracts and resources.
- Networking – expertise oriented, know when this need expert and how to use them effectively.
- Facing adversity – resolve problems under pressure turn problems into opportunities.
- Manage risk – Not adventurers but manageable risk takers. Their success lies in certain learning flexibility and change during implementation.
- Controlling the business – paying attention to detail and essential ratios; exercising strategies control over their business.
- Putting the customer first: Listening to the customer and responding to the customer feedback
- Creating capital: I.e financial, social and aesthetic

ROLE OF ENTREPRENEURSHIP IN ECONOMIC DEVELOPMENT

The contribution of entrepreneurship in the promotion of economic development should not be underestimated and therefore the need to make a highlight is essential. The entrepreneurs are the change agents and the prime movers of the economy. It has been

Personal source
 Environmental factor
 defen factor
 common resource
 human resource
 Foreign

established that no country can grow economically without the positive support of the entrepreneurs and entrepreneurship. Student should be able to classify the resources into economic human knowledge and time and distinguish between economic development and economic growth.

ECONOMIC RESOURCES

(13)

Money: Money is necessary to obtain goods and services that entrepreneurs want. A major way in which money is obtained is through employment. The real value of money can be measured in what necessities wants and security will provide for the future.

HUMAN RESOURCES

Energy: Good health is essential to maintain a high energy level. Adequate nutrition, rest and exercise are basic necessities. Personal attitude also have a strong influence on an individual's energy supply.

Skills: Skills are developed when a person learns how to do a task competently. Anyone can develop skills by being willing to put in the necessary effort.

Knowledge: A real zeal for life and an active curiosity stimulate learning as learning promotes growth and development.

Time: Time is a unique resource. Everyone has the same amount (24 hours a day and 168 hours each week). A large portion of time is taken up by daily activities like eating, sleeping, school, work and hygiene. The remaining time should be spent on recreational activities and special interest that provide satisfaction.

ENTREPRENEURSHIP LEADS TO IMPORT SUBSTITUTION AND UTILIZATION OF LOCAL RESOURCES

Entrepreneurship trains individual to identify, analyze and utilize opportunities through value addition to create something needed around him. The recognitions of a business opportunity coupled with the ability to respond effectively is the basis for starting and maintaining successful ventures. This involves not only generating idea or identifying opportunities, but also screening and evaluating them to determine the most viable, attractive propositions to be pursued.

A business opportunity may be defined simply as an attractive investment idea or proposition that provides the possibility of a return for the person taking risk.

DISTINGUISH BETWEEN ECONOMIC DEVELOPMENT AND ECONOMIC GROWTH

Economic development/progress is an essential component of development that is conceived of as a multi-dimensional process involving changes in structures, attitudes and institutions as well as the acceleration of economic growth, the reduction of inequality and eradication of absolute poverty. The basic need and desire of individuals and social groups within that system, moves away from a condition of life widely perceived of as unsatisfactory towards a situation or condition of life regarded materially and spiritually better.

Economic growth means an expansion in real terms of national income per head. Closely associated with this must be an improvement in the overall standard of living of the citizens.

MOTIVATION

Motivation starts with desire to be free, to be free from dependency on others. Freedom to live the lifestyle freedom is not possible or desirable, but the struggle to achieve that ideal is the basis for motivation.

Motivation is built on three basic elements.:

1. Motivation start with a need, vision, dream or desire to achieve the seemingly impossible, creativity can be considered a path to freedom.
2. Developing a love-to-learn lifestyle become involved with risky ventures and continually seek new opportunities. Success is the result of learning what works and what does not work.
3. Develop the ability to overcome barriers and to bounce back from discouragement or failure.

RULES OF MOTIVATION

1. Set a major goals but follow a path. Have mini goals that go in many directions. When you learn to succeed at mini goals you will be motivated to challenge the grand goals.
2. Finish what you start. A half finished project is of no use to anyone. Quitting is a habit of unsuccessful entrepreneur. Develop the habit of finishing self-motivated progress.

3. Socialize with others of similar interest. Mutual support is motivating. We will develop the attitudes of our five best friends.
4. Learn how to, depend on others for knowledge supports the habit of procrastination. Man has the ability to learn without instructors.
5. Harmonize natural talent with interest that motivates. Natural talent creates motivation, motivation creates persistence and persistence gets the job done.
6. Increase knowledge on subjects that inspires you. The more we know about a subject, the more we want to learn about it. A self propelled upward spiral develops.
7. Take risk, failure and bounding back are element of motivation. Failure is a learning tool no one has ever succeeded at anything worthwhile without a string of failures.

THE HISTORY AND GOVERNMENT POLICY MEASURE FOR PROMOTE ENTREPRENEURSHIP IN NIGERIA

1. TRACE THE EVOLUTION OF ENTREPRENEURSHIP DEVELOPMENT

Throughout the theoretical history of entrepreneurship, scholars from multiple discipline in the social science had grappled with the diverse set of entrepreneurship and definition to conceptualize this abstract idea.

Over time same water had identified entrepreneurship with the function of uncertainty bearing, other with the introduction of innovation, and still others with. Provision of capital" (Hoseletz 1952). Even though certain themes continually resurface throughout the history of entrepreneurship theory; presently there is no single definition of entrepreneurship that is accepted by all economist and social scientist.

Although there is only limited consensus about the defining characteristics of entrepreneurship, the concept is almost as old as the formal discipline of economics itself. The term entrepreneurship" was first introduced by the early 18th century French economist Richard Canillon in his writings, he formally define it as the" agent who buy means of production at certain prices in order to combine them" in to new product.

2. Role of entrepreneurs in development enterprise in Nigeria

- (a) The entrepreneurship is an activity, also the prime mover in the business enterprise. Without the entrepreneurship no business in the first place. He/she is the one who identifies gaps in the market and then turns these gaps into business opportunity.
- (b) It is the entrepreneur who finances the business after identifying a business opportunity.
- (c) Another function of the entrepreneurs is to manage the business.
- (d) The entrepreneurs also has the function of bearing the uncertainties of the risks of the business.
- (e) Through the entrepreneurship function, many jobs are created in the economy in addition wealth is made available to the individual, the community and society in general through the actions of entrepreneurs.

3. Compare entrepreneurship in Nigeria with Japan, India, china, Malaysia, south Korea, e.t.c.

Entrepreneurship in Nigeria: Africa is the poorest, less-developed continent in the world. In most countries in Africa, the government have typically played a significant role in determining the cause of development. Many states-owned enterprises in Africa were created when it was believed that the fastest route to develop occurred when the state took on the role of the entrepreneurship. Unfortunately in many countries, the performance of these state owned firms, or parastatols, has been sub-standard. Part of the problem with the state owned enterprises is that they are run by bureaucrats and are plagued with red tapism. These firms are typically run according to cost cutting and profit maximizing concepts. The typical result is rampant inefficiency (Elkan, 1988). Although Nigerian was at one time characterized by such inefficiencies.

Nigeria has thousand of silent businessman in the informal sectors of the economy, pursuing business interest ranging from the importation of refined crude oil to selling packaged table water it is estimated that the informal sector account

for 60% of Nigerians GDP and represents a source of livelihood for about 70% of Nigerians these business operators in the small/micro sectors are engine that drives any economy forward, and Nigeria has no scarcity of them.

The challenges faced by Entrepreneurs in Nigeria is corruption and is something that retards economic growth, and it exist in virtually in all economic ramification, not necessarily developing economics or developed ones, although based on the structures in the more advanced countries, they have the potentials to control or to curb these kind of practices.

Another major factor is infrastructures” this is true in all developing countries, but more so in Nigeria. Poor infrastructure has been a major cause of Nigeria products not being competitive in the international market. Public power supply has been the major constraint to enterprise development.

Another important constraint is “finance” Access to capital is a major constraint in Nigeria. The government has tried to do something about this through having one form of intervention or the other in the past.

Another factor is inadequate documentation process and outcomes. The record is poorly kept and it is difficult for small business to have regular financial statement and things like that.

Entrepreneurship involve seeking and pursuing opportunity successful entrepreneurship capture the value from opportunity”

Colin turner: six core entrepreneurship characteristic essential to fulfill both an organization potential and the individual potential.

Individual:

1. Make decisive personal choice.
2. Design develops, drive and determine.
3. Willingly risk moderate failure.
4. Establish interdependence among members.
5. Define project expectation.
6. Recognize concept value.

Organizational

1. Have agreed support strategy.
2. Provide initiative sponsorship.
3. Establish trial and error metrics.
4. Encourage diversified teams.
5. Allocate venture resources.
6. Provide performance and risk rewards.

TEN (10) SECRET OF SUCCESSFUL ENTREPRENEURS

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1. Think success to attain the kind of success that you want. You need to dream big. Every success story starts with big dreams. You need to have big dreams for yourself which you want to be somebody rich, famous or fulfilled. You need to have a clear vision of what you want to achieve. But it doesn't stop in dreaming alone. You should actively visualize success in your mind that you can almost feel it.

2. Be passionate with what you do. You start a business to change any or all part of your life. To attain this change you need to develop or uncover an intense, personal passion to change the way things are and to live life to the fullest. Success comes easily if you love what you do.

Why? Because we are more recently in our pursuit of goals about things that we love: if you hate a job right now, do you think you will ever be successful at it? Not in a million years!

3. Focus on your strengths. Let's face it, you cannot be everything to everybody. Each of us has our strength and weakness. To be effective, you need to identify your strengths and concentrate on it. You will become more successful if you are able to channel your effort to areas that you best.

4. Never consider the possibility of failure. Ayn Rand, in her novel the fountain head, wrote, "It is not in the nature of man nor of any living entity, to start out

- giving up. "As an entrepreneur, you need to fully believe in your goals and that you can do it.
5. Plan accordingly: you have a vision and you have enough faith in yourself to believe that you can achieve your vision. But do you know how to get to your vision? To achieve your vision, you need to have concrete goals that will provide the stepping stone towards your ultimate vision.
6. Work hard: Every successful entrepreneur work hard, just by sitting and starting at the wall every single day. Brian Tracy for survival; everything over eight hours per day is for success" Ask any successful business person and they will tell you that.
7. Constantly look for ways to work. In business, you are judged by the company you keep from your management terms, board of directors and strategies partners. Business always need assistance, more so small businesses.
8. Willingness to learn. You do not need to be an M.B.A degree holder or postgraduate to succeed in your own business. Infact, there are a lot of entrepreneurs who did not even finish secondary education. Studies show that most self made millionaires have average intelligence. Nonetheless, these people reached their full potential and achieved their financial and personal goal in business because they are willing to learn. To succeed, you must be willing to ask question, remain curious, interested and open to new knowledge.
9. Persevere and have faith. No one said that the road to success is easy. Despite your good intention and hard look, sometimes you will fail. Some successful entrepreneurship suffered setback and resounding defeats, even bankruptcy, yet manage to quickly. Stand up to make ti big in their fields.
10. Discipline yourself. Thomas Hunley once said do what you should do, when you should do it, whether you like it or not. Self discipline is the key to succeed. The strength of wile to force yourself to pay the price of success doing what others don't like to do, going the extra mile, fighting and winning the lonely battle with yourself.

❖ **PUBLIC/INDUSTRIAL SECTOR EMPLOYMENT**

Paid Employment

ADVANTAGES

1. Specific (or fixed) responsibilities
2. Steady income
3. Fringe benefits
4. Fixed hours of work
5. More certain future
6. Set span of control
7. Minimal risks

CHALLENGES

1. Follows orders
2. Ability not easily recognized
3. Set income
4. Limited responsibility
5. Difficulty to implement ideas
6. Dependent on the employer

❖ **Self Employment**

Self-Employment

ADVANTAGES

1. Leads rather than follows
2. Can implement ideas
3. Can be creative
4. Potential income unlimited
5. Independence
6. Can take initiative
7. Controls work environment
8. Gives orders

CHALLENGES

1. Long, irregular hours of work
2. Broad responsibility
3. Must take risks
4. Income not stable nor guaranteed
5. No fringe benefits
6. Always involved in finances
7. Time constraint
8. Uncertain future
9. Learning never ends
10. Hard to delegate work
11. Too much paperwork
12. Dependent on employee actions

BUSINESS TERRAIN IN NIGERIA

The indispensability of the small-scale, private sector enterprise as the dynamic engine needed for general economic development has been recognized. Nigeria, taking the cue from other developing countries at various times since the 1970s, has designed and introduced a variety of measures and economical policies to promote small and medium scale enterprise development. Over the years these measures had included fiscal, monetary and export incentives. Fiscal incentives introduced included tax holidays and tariff concessions. For instance, small enterprises were given a tax holiday for the first six years of their operation. Monetary Incentives: In terms of monetary authority support, the Central Bank of Nigeria introduced credit guidelines requiring commercial and merchant banks to allocate a portion of their loanable funds to small enterprises. Development Funds: A number of developmental financial institutions and schemes were also established to aid the development of the small and medium enterprises (SMEs) in the country. These included:

- The Nigeria Bank for Commerce and Industry (NCBI),
- Nigerian Industrial Development Bank (NIDB),
- Nigeria Agricultural and Cooperatives Development Bank (NACDB),
- The "Peoples Bank" in the 1980s;
- The National Economic Reconstruction Fund (NERFUND), *and*
- The World Bank SME I and SME II loan schemes. E.g YOUWIN
- NIRSAL etc.

It is pertinent to note that NCBI, NIDB and NERFUND have been merged to form The Bank of Industries (BOI); and the new National Agriculture, Cooperative and Rural Development Bank (NACRDB) is a merger of Peoples Bank, Family Economic Advancement Programme and the Nigeria Agricultural and Cooperatives Bank (NACB).

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There were also export incentives from the Nigeria Export-Import Bank (NEXIM) to stimulate export loan facilities to SMEs, and export duty draw-back schemes administered by the Nigeria Export Promotion Council (NEPC).

Other incentive programs were technical in nature, such as the provision of manpower training, appropriate machinery selection and installation, machine repairs and maintenance, and extension services. These services were provided by institutions such as:

- The Industrial Development Centers (IDCs)
- The Center for Industrial Research and Development (CIRD),
- The Center for Management Development (CMD),
- The Project Development Agency (PRODA), *and*
- The Raw Materials Research and Development Council (RMRDC)

REGULATIONS AND YOUR BUSINESS

(14)

INTRODUCTION

You may not think that your small business can attract the attention of any government or their agencies, but it does. For any business, even the smallest, to grow and actually benefit from all the helps that are offered by the government or its agencies, it would have to comply with a number of its Local, State and Federal regulations. It is not in the long-term interest of your business to ignore or avoid these regulations. So you should take the time to work with your Business Support Counselor to find out the applicable regulations for your type of business.

Bear in mind that regulations vary by industry. If you are in the food service business and you are located in the FCT, for example, you will have to deal with the Abuja Environmental Protection Board, (AEPB). For any location in Nigeria you will need the National Agency for Food and Drug Administration and Control. (NAFDAC). If your business uses chemical solvents, you will have AEPB's compliance to meet. Carefully investigate the regulations that affect your industry. Being out of compliance could lead to expensive penalties, and thus jeopardize your business.

Below are a number of the most common requirements that affect small businesses, but it is by no means exhaustive.

- ☐ Business and Trading licenses
- ☐ Health and safety
- ☐ Business Insurance
- ☐ Intellectual property protection
- ☐ Employment Taxes
- ☐ Employment law

Business Licenses

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For almost every business that you would want to start you will need a license to operate legally. For more information on licenses that you might require contact the closest Business Development Service Counselor.

You should allow enough time for the authorities to process your application, because you may not be able to start your business until the licenses you need are approved.

The rules are different depending on the type of business that you are setting up. These are examples of the sort of licenses you might need, and where to apply for them:

- ☐ Food businesses (such as restaurants, catering services snack bars etc.) need a license from the NAFDAC. PHC Agency, Ministry of Commerce and Industry etc.
- ☐ Businesses dealing with children, such as nurseries or daycare centres, need a special license which is renewed annually, Ministry of Education.
- ☐ Land related businesses you will need a valid land title like a Certificate of Occupancy. (CLO) under Ministry of land and survey.

What business insurance do you need?

All businesses need insurance as soon as they start trading. Some insurance policies are required by law, and you need them to be in place as soon as your business is up and running.

Like home insurance, business insurance protects the contents of your business against fire, theft and other losses. It is, therefore in your business interest to purchase a number of basic types of insurance. It makes good business sense to have most of these insurances, but remember some of the coverages are required by law.

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restaurant

Occupancy

Obey Gov

you in
ministry
of Education

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in Bar & Beer

Insurance

Little certificate of
occupancy

Nursery

Nurseries
or Daycare

You are likely to need a combination of the following insurance policies:

- **Liability Insurance** -- Businesses may incur various forms of liability in conducting their normal activities. One of the most common types is product liability, which may be incurred when a customer suffers harm from using your product.
- **Property Insurance** -- There are many different types of property insurance and levels of coverage available. It is important to determine the property you need to insure for your business and the level of insurance you need to replace or rebuild. You must also understand the terms of the insurance, including any limitations or waivers of coverage.
- **Motor insurance** -- It is good business practice that a vehicle owned or used by your business should be insured for both liability and replacement purposes, even if this is not demanded by law.
- Other types of insurance may be required, depending on the type of business you run. For example: Buildings and contents insurance (including cover for goods in transit); Professional indemnity insurance, if you provide advice for a fee in the way that a solicitor or consultant does, you might need this.

An insurance broker will be able to explain which policies your business needs.

Tax Information –(FIRS)

Business owners are required by law to withhold Personal Income Tax from the wages paid to their employees. In addition, each business must file an income tax return on its business activities as well as Value Added Tax (VAT) with the Federal Inland Revenue Service.

Sales Tax/Value Added Tax (VAT)

Within the Federal Republic of Nigeria, there is a percentage of (sales) - value added tax, (VAT) which applies to all retail purchase, rental, use or consumption of tangible personal property and certain services. In other words, VAT must be collected on most tangible items sold.

Employee & Safety Regulations

(Check with Min. of Labour & Productivity or Min. of Industries for the latest details.)

When your business employs people, even if they are your relatives, it has to comply with a number of legal requirements. Employment law covers many different issues, including:

- Working hours and holidays
- Minimum wage
- Pensions
- Tax and National Insurance
- Maternity and parental leave

There are also special safety regulations for certain types of businesses doing one or more of the following things:

- Working in a factory or workshop
- Using heavy machinery
- Using hazardous substances (like chemicals or pesticides)
- Doing a lot of lifting and carrying

Fire safety

If you employ staff, you have certain responsibilities when considering fire safety in your workplace. These include:

- Doing a risk assessment of possible fire hazards and taking steps to reduce the risk.
- Making sure fires can be detected quickly, for example by installing a smoke alarm.
- Providing fire-fighting equipment and making sure it's properly maintained.

Some businesses also need to apply for fire and/or environmental certificate. Seek clarification from the nearest Environmental Agency to your location.

1. Roles of Entrepreneurs in Business/Wealth Creation

- i. Promoters: Entrepreneurs are promoters because they can scan the environment, identify opportunities, marshal resources and implement the business idea.
- ii. Partners: Entrepreneurs solicit the participation of other persons in a business project because of the following:
 - (a) the degree of success or failure factor involved,
 - (b) the complexity of a business idea may require more than one person to run it,
 - (c) the influence, experience and capacity of others may be useful, and
 - (d) friendships or acquaintanceships may be

3. Shareholders: consolidated through joint business association. Potential entrepreneurs would participate as shareholders under the following circumstances:

- (a) when the enterprise requires too much investment,
- (b) when they do not want to commit their full time to the enterprise,
- (c) when risks may be reduced by spreading their investment portfolio, and
- (d) when they do not have the capacity to manage such an enterprise.

4. Directors: Entrepreneurs participate as directors by contributing positive ideas to advance the enterprise's objectives. Such would include:

- (a) ensuring compliance with all legal requirements,
- (b) safeguarding the interests of employees, especially women, particularly in the context of decent work,
- (c) safeguarding the interests of shareholders in the context of return on investment,
- (d) ensuring that business is conducted honestly and diligently, and is devoid of fraud and deceit,
- (e) ensuring social responsibilities and expectations are met.

5. Organizers:

For an entrepreneur to effectively control or monitor operations and facilitate communication with workers, it is advisable to have an organizational structure for the enterprise. Organizational structures can be formal or informal, for instance:

- (a) various members of a family are assigned various positions,
- (b) various employed assistants are assigned administrative positions in the running of a small business.

6. Initiating ideas: Entrepreneurs come up with new ideas. This is an important area for an entrepreneur as it determines his/her rate of expansion in business, e.g. new designs and use of products.

7. Taking risks: Entrepreneurs take risks in business, e.g. starting businesses which have an equal chance of success or

failure. Resigning from a secure job to start a business is also risk-taking.

8. Planning: Entrepreneurs are aware of the importance of planning and of the limitations of planning in the context of the above roles.

9. Controlling: Entrepreneurs are leaders rather than followers; they make the final decisions and control all aspects of business operations.

10. Coordinating: Entrepreneurs must coordinate all the production factors needed in the business, i.e. capital, labour and land.

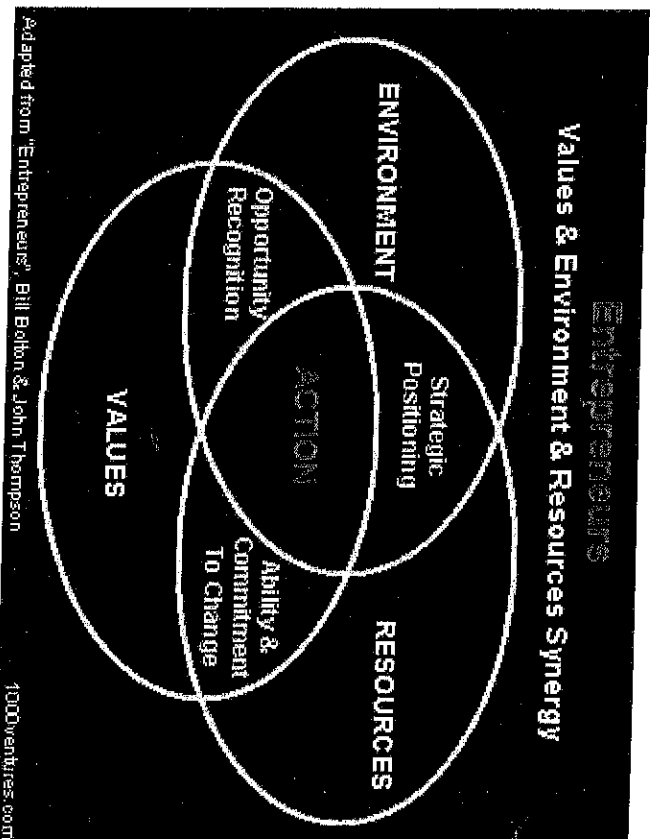
"Entrepreneurship involves seeking and pursuing opportunity. Successful entrepreneurship captures the value from opportunity" - Colin Turner

Six Core Entrepreneurship Characteristics: essential to fulfill both an organization's potential and the individual's potential.
Employee

1. Make decisive personal choice
2. Design, develop, drive and determine
3. Willingly risk moderate failure
4. Establish interdependence among members
5. Define project expectations
6. Recognize concept value

Organizational

1. Have agreed support strategy
2. Provide initiative sponsorship
3. Establish trial and error metrics
4. Encourage diversified teams
5. Allocate venture resources
6. Provide performance and risk rewards



No one gets ahead by copying the status quo or imitating competitors. The concept of being unique or different is far more important today than it was ten years ago. In the emerging era of over-communication and hyper-competition, people are overwhelmed by choice - choice of information, ideas, products, and services. In this sea of choice, most customers have trouble making choices about buying decisions. Choosing among multiple options is always based on differences, implicit or explicit.

Creativity is your key to the future. All progress comes about as a result of finding better, faster, cheaper, easier or different ways to do things and this requires the continual honing of your creative thinking skills.

Lateral thinking is concerned with generation of new ideas. It is also concerned with "breaking out of the concept of prisons of old ideas."

- The concept of being unique or different is important today than so many years ago.
- People are overwhelmed by choice, e.g.
 - Choice of information
 - Idea
 - Product and service etc.
- In this sea of choice most customers are facing trouble making choice about buying decision

List entrepreneurial characteristics: the list might include the following characteristics.

- | | | |
|-------------------------------|---|--------------------------------|
| - Self confident | - | Persistent and determined |
| - Independent | - | Willing to listen |
| - Optimistic | - | Hard working |
| - Dynamic leader | - | Energetic and forceful |
| - Originality of thought | - | Perceptive |
| - Builds on strengths | - | Goal-oriented |
| - Innovative and creative | - | Risk-taker |
| - Resourceful | - | Accepts challenges |
| - Committed | - | Communicates effectively |
| - Takes initiative | - | Decision-maker |
| - Versatile and knowledgeable | - | Sets own performance standards |
| - Gets along with others | - | Sees broad picture |
| - Flexible | - | Mentally well-organized |
| - Responsive to feedback | - | Understands self |
| - Achievement-oriented | - | Manages an organization |
| - Builds for the future | - | Reliable, has integrity |
| - Highly motivated | - | Copes with uncertainty |
| - Profit-oriented | | |

10 SECRETS OF SUCCESSFUL ENTREPRENEURS

Running a one-person business is a creative, flexible and challenging way to become your own boss and chart your own future. It is about creating a life, as it is about making a living. It takes courage, determination and foresight to decide to become an entrepreneur. From the relatively safe cocoon of the corporate world, where paychecks arrive regularly, you will be venturing into the uncharted territories of business.

Is there a way to determine whether you can be a successful entrepreneur, or you are better off to work for somebody else? Alas, there is no formula for success. However, most successful entrepreneurs share these ten characteristics. Check if you possess any one of them:

1. Think success.
2. Be passionate with what you do.
3. Focus on your strengths.
4. Never consider the possibility of failure.
5. Plan accordingly.
6. Work hard!
7. Constantly Look for Ways to Network.
8. Willingness to Learn.
9. Persevere and have faith.
10. Discipline yourself.

B. Question: Explain The Classes Of Entrepreneurship

- ❖ Business Entrepreneurs
- ❖ Social Entrepreneurs
- ❖ Intrepreneurs
- ❖ Techno-entrepreneurs
- ❖ Institutional Entrepreneurs

Entrepreneur
Interpreneur

C. Analyze Life Situations People May Find Themselves In and The Benefits To Be Derived From the Situations

We find ourselves in different life situations all of the time. It is a natural law that we try to master these situations as well as have 'dominion over them'. Some of these situations include:

1. Social Gathering;
2. Visiting A National Park;
3. Subsistence Farming;
4. Political Campaign;
5. City Life/Rural Life;
6. Unemployment;
7. Using Internet;
8. Vocational Training;
9. Hunger/Drought;
10. Family and Home
11. Being In a Foreign Country; and
12. Family Business.

Changes in Life Situations

1. Activities and situations in life are many and varied. These situations change over time and according to location. Things happen to you, to your family, within your community, and even in your government that demand things be changed and done differently. Events in your natural environment, the legal sector, the financial sector, the labour market, and even the weather can all force you to do things differently. Even events happening far away from your area can affect you either directly or indirectly.

2. In any situation, there is always something that can be done to alleviate problems. The distinguishing characteristic of enterprising men or women is their readiness and alertness to do something to respond to the new situations they find themselves in. Their first challenge is to study, analyse and interpret the situation. Through this process the new challenges people face in the new environment can be clearly identified. The second challenge is to come up with possible solutions addressing these new challenges, the implementation of which will be full of rewards for the enterprising man or woman.

3. Everybody has the potential to initiate action in any situation if they have the will, drive and motivation. Most men or women have innate talents and capabilities that would enable them to come up with valued responses to any challenges brought about by new situations. However, the majority of people tend to be slow in reacting or wait for other

people to act first. Enterprising men and women are action or task oriented, proactive and willing to adopt leadership roles.

4. By taking action when confronted with unfamiliar situations, people receive benefits that are either physical or psychological. Enterprising men and women tend to react faster in new situations than ordinary people. They are able to recognize opportunities, and take advantage of them as long as the window of opportunity continues to remain open. They do not wait for other people to act first, and this is consistent with the risk-taking nature and resourcefulness of enterprising men and women.

5. Action should be taken immediately when a person is in an unfamiliar life situation. Implementation and accomplishment of activities is a key characteristic of enterprising men and women. They do not hesitate, procrastinate or delay implementation. They are decisive and develop clear implementation plans which they try to follow as closely as possible.

6. To respond to and accommodate the changed situation, a person needs to utilize tools (principles, skills, knowledge) which are appropriate for that situation. Through proper planning, it is possible to identify the required resources, be they physical or psychological, to accomplish the tasks. In the same planning process, the amount of resources required, as well as their sources, is also identified.

Exercise: Consider the situation in your environment/institution. Identify priority issues and answer the following question.

1. What is this Life Situation About?
2. What Needs To Be Done?
3. Who Is To Do It?
4. Why Should The One Identified Do It?
5. When Should It Be Done?
6. What Is Needed To Do It?
7. How Should It Be Done?
8. What Is Your Responsibility In This?

D. Compare and Contrast Technological and Social Entrepreneurship

❖ **TECHNOLOGICAL ENTREPRENEURSHIP**

(12)

The term "technopreneur" arose from within Singaporean culture to describe an individual whose entrepreneurial endeavours focus on a technology-centered enterprise. The government of Singapore has embraced technopreneurship and has launched several initiatives to promote technopreneurship as a means of economic development. In the past three years. For example, the government now sponsors university courses on technopreneurship and helps connect venture capital companies with budding technopreneurs. This greater openness has encouraged many new start-ups to form, and the country is well on its way to fully integrating itself into the New Economy. Singapore's success with technopreneurship policies has influenced other Asian countries to begin such initiatives.

For example, Malaysia recently launched its Multimedia Super Corridor to encourage domestic technology development, and Hong Kong recently completed the construction of its CyberPort, a technopreneurship-friendly business district. Finally, technopreneurship encouragement has also taken place in certain cities in India.

To utilize the educated youth, who have been trained in engineering and computer programming, international IT companies began locating in India, particularly in Bangalore. The result is that Bangalore has become a powerhouse for software production. Although Indian technopreneurs were not originally at the center of Bangalore's technology development, they are now beginning to pop up throughout southern India, largely due to the government's help in creating "the right climate to encourage this sunrise industry" (Soota, 1998).

Several countries today are building techno-parks where the youths are encouraged to get involved in IT-related activities or in some cases other forms of hi-tech activities. These parks are solely devoted to the development of technopreneurs.

❖ **SOCIAL ENTREPRENEURSHIP:**

(12)

The idea of "social entrepreneurship" has struck a responsive chord. It is a phrase well suited to our times. It combines the passion of a social mission with an image of business-like discipline, innovation, and determination commonly associated with, for instance, the high-tech pioneers of Silicon Valley. The time is certainly ripe for entrepreneurial approaches to social problems. Many governmental and philanthropic efforts have fallen far short of our expectations. Major social sector institutions are often

viewed as inefficient, ineffective, and unresponsive. Social entrepreneurs are needed to develop new models for a new century.

In addition to innovative not-for-profit ventures, social entrepreneurship can include social purpose business ventures, such as for-profit community development banks, and hybrid organizations mixing not-for-profit and for-profit elements, such as homeless shelters that start businesses to train and employ their residents. The new language helps to broaden the playing field. Social entrepreneurs look for the most effective methods of serving their social missions.

E. Identify the Different Types of Entrepreneurs: Self Employed, Opportunistic, Inventors, Pattern Multipliers, etc.

Before starting a business, there is a need to identify the type of opportunities that are available and the type of entrepreneur you might choose to be. Many types of entrepreneurs are needed to help the country to grow. Let's look at the possibilities.

1. **Self-Employed:** Individuals who perform all the work and keep all the profit. This includes everything from family-run stores, agents, repair persons, accountants, to physicians and lawyers. It can be a full-time job because no one else is involved or employed within the trade.
2. **Opportunistic:** Those who start a business and expand as fast as possible in order to be able to hire other employees. Usually, these additional employees have the necessary expertise that the owner does not have.
3. **Inventors:** Those with particular inventive abilities who design a better product and then create companies to develop, produce and sell the item. High-technology companies of this type are a new trend.
4. **Pattern** Those who look for an idea someone else has already had so that they can then create their own business
5. **Multipliers:**
 - a. Based on this model. Franchise operation or chain stores are a form of this approach.
 - b. **Economy of Scale** Those who benefit from a large volume of sales by offering discount prices and operating with very low overhead.
6. **Acquirers:** Those who take over a business started by somebody else and use their own ideas to make it successful. This often happens when there is a financial problem in the current operation. Fresh management ideas may save the business.
7. **Buy-Sell Artists:** Those who buy a company for the purpose of improving it so that they can sell it again for a profit.
8. **Speculators:** Those who purchase a commodity and resell it for a profit. Real

estate, art, antiques and crops are typical speculator items.

9. Internal: Those who create new ideas and turn them into a successful project within an existing business. Although they have neither the profit nor the personal financial risk of their own business, they need to use the same methods of operation as an entrepreneur.

10. Franchisee: A franchisee is an individual who starts a business for which a widely known product image has already been established. The franchisee owns the business and assumes its operating responsibilities subject to specifications set out by the franchisor.

11. Necessity: Unemployed person who chooses to establish his/her own business in order to survive rather than die of hunger or continue to be dependent on parents, e.g. shoe shine boy.

F. Identify The Role Of Entrepreneurship In Business, Society And In Self Employment

Entrepreneurs answer the hard questions that add value to the quality of life for Society. These include:

• WHAT IS TO BE PRODUCED?

Since two-thirds of the total production of goods and services focus on the consumer sector, consumers comprise the group who determines what is to be produced. The entrepreneur takes note of consumer needs, analyses them and takes decisions on what to produce.

• FOR WHOM IS IT TO BE PRODUCED?

In the economy, the "For Whom" question is generally defined as whoever has the most money to buy the items which are made from the factors of production. Generally speaking, the people with the most money are those who own a successful business (consumers want their goods and services) and/or those who are in occupations in high demand (businesses want their skills).

• HOW WILL IT BE PRODUCED?

This is determined with the consumer in mind, primarily through the interaction of businesses and consumers. For example, the Rolls Royce is a luxurious car made with high expenses and lasts a long time. Many consumers however cannot afford a Rolls Royce. Entrepreneurs note this point and produce less exclusive cars at a lower price in order to satisfy the needs and wants of those who cannot afford a Rolls Royce.